IN THE HIGH COURT OF JUSTICE
BUSINESS AND PROPERTY COURTS OF ENGLAND AND WALES
COMMERCIAL COURT (KBD)

Claim No. CL-2026-000118

B E T W E E N:

Claimant

- and -

Defendant

PARTICULARS OF CLAIM

A. THE PARTIES

1. The Claimant ("Hartwell") is a company incorporated in England and Wales (registered number 06122841) carrying on business as a clinical-stage biopharmaceutical company developing oncology therapeutics. At all material times Hartwell operated a GMP-licensed manufacturing facility at Unit 4, Cambourne Science Park, Cambridge CB23 6DP.

2. The Defendant ("Tessaract") is a company incorporated in England and Wales (registered number 09877123) carrying on business as a contract manufacturer and supplier of active pharmaceutical ingredients ("APIs") and specialist reagents to the pharmaceutical industry.

B. THE SUPPLY AND QUALITY AGREEMENT

3. By a written Supply and Quality Agreement dated 14 February 2024 (the "Agreement"), Tessaract agreed to manufacture and supply to Hartwell quantities of the active pharmaceutical ingredient designated HX-218 (the "API") for use by Hartwell in the manufacture of investigational medicinal product for its Phase II clinical programme HX-218/CT-02.

4. The Agreement comprised master terms together with a Quality Agreement appended as Schedule 2 and agreed product specifications appended as Schedule 3. It is to be inferred that the Agreement contained, among others, the following express terms:

   (a) by clause 4.1, that each batch of the API supplied would conform in all respects to the specification set out in Schedule 3, including an assay purity of not less than 99.0% (HPLC area %) and total related substances of not more than 0.5%;

   (b) by clause 4.2, that the API would be manufactured in accordance with current Good Manufacturing Practice (cGMP), the applicable marketing authorisation requirements and the Quality Agreement;

(c) by clause 4.4, that each delivery would be accompanied by a Certificate of Analysis ("CoA") and a Certificate of Conformity certifying that the batch met the Schedule 3 specification;

(d) by clause 9.3 of the Quality Agreement, that Tessaract would not make any change to the validated manufacturing process or to any starting material supplier without Hartwell's prior written approval pursuant to the change-control procedure; and

(e) by clause 14, that Tessaract's aggregate liability under the Agreement would be limited to the greater of (i) the total charges paid in the twelve months preceding the claim and (ii) £250,000, save that (by clause 14.4) no such limit applied to liability arising from a deliberate breach of the change-control obligations.

5. Further, it was an implied term of the Agreement, pursuant to sections 13 and 14 of the Sale of Goods Act 1979, that the API would correspond with its description and would be of satisfactory quality and reasonably fit for its purpose, namely use in the GMP manufacture of clinical-trial medicinal product.

C. THE DEFECTIVE BATCH

6. On or about 5 August 2025 Tessaract delivered to Hartwell batch number TX-HX218-0461 of the API (the "Batch"), comprising 3.2 kg, together with a CoA and Certificate of Conformity each certifying conformity with the Schedule 3 specification.

7. In reliance on those certificates, Hartwell released the Batch into its GMP manufacturing process and, between 18 and 27 August 2025, used the Batch in the manufacture of clinical drug-product lot DP-2025-114 intended to supply the HX-218/CT-02 Phase II study across seven clinical sites.

8. On 2 September 2025 Hartwell's in-process and release testing of lot DP-2025-114 identified an unknown impurity at 0.9% area, exceeding the 0.2% identification threshold and the 0.5% total related substances limit. Investigation OOS-2025-037 established that the impurity originated in the Batch and was not detectable on the parameters reported in Tessaract's CoA.

9. Subsequent analysis by Hartwell, later confirmed by independent testing at Wraysbury Materials Laboratory, established that the impurity was a process-related degradant consistent with the use of a non-qualified starting material. On enquiry, Tessaract admitted on 19 September 2025 that, for the Batch, it had sourced the key starting material 4-chloro intermediate from an alternative supplier (Reyland Fine Chemicals) in place of the qualified supplier specified in the validated process, and had done so without submitting any change-control notification to Hartwell.

D. BREACHES OF CONTRACT

10. In the premises Tessaract acted in breach of the Agreement. Hartwell relies on the following breaches:

(f) the Batch did not conform to the Schedule 3 specification, in breach of clause 4.1 and of the implied terms under sections 13 and 14 of the Sale of Goods Act 1979;

(g) the Batch was not manufactured in accordance with cGMP and the Quality Agreement, in breach of clause 4.2;

(h) the CoA and Certificate of Conformity were inaccurate and certified conformity which did not exist, in breach of clause 4.4; and

(i) Tessaract changed the starting-material supplier without prior written approval under the change-control procedure, in deliberate breach of clause 9.3 of the Quality Agreement, such that the liability cap in clause 14 does not apply by reason of clause 14.4.

E. CAUSATION AND LOSS

11. By reason of the matters aforesaid, Hartwell has suffered loss and damage. Lot DP-2025-114 was quarantined and rejected and could not be released for clinical use. Hartwell was required to repeat the manufacturing campaign using replacement API, to repeat associated analytical and stability work, and incurred consequential delay to the HX-218/CT-02 study, including standby and re-mobilisation costs at clinical sites.

12. Particulars of loss are set out in the Schedule of Loss served with these Particulars. In summary Hartwell claims:

(j) wasted manufacturing, analytical and materials costs in respect of lot DP-2025-114: £1,284,500;

(k) the cost of replacement API and the repeat manufacturing campaign: £742,300;

(l) clinical-site standby, re-mobilisation and study-delay costs: £958,400; and

(m) investigation, OOS and independent testing costs: £186,750,

making a total of £3,171,950, together with interest.

13. Hartwell claims interest on such sums as are found due pursuant to section 35A of the Senior Courts Act 1981 at such rate and for such period as the Court thinks fit.

F. THE LIABILITY CAP

14. For the avoidance of doubt, Hartwell contends that the limitation of liability in clause 14 of the Agreement does not apply, because the loss arises from Tessaract's deliberate breach of the change-control obligations in clause 9.3 of the Quality Agreement, to which clause 14.4 applies. Alternatively, if (which is denied) clause 14 applies, the relevant cap exceeds £250,000 by reference to the charges paid in the preceding twelve months.

AND the Claimant claims:

(i) Damages in the sum of £3,171,950;

(ii) Interest pursuant to section 35A of the Senior Courts Act 1981;

(iii) Costs.

HARRIET STANFORD

STATEMENT OF TRUTH

The Claimant believes that the facts stated in these Particulars of Claim are true. I am duly authorised by the Claimant to sign this statement.

Signed: ..... Dated: 16 January 2026

Naomi Adeyemi, General Counsel & Company Secretary, for and on behalf of Hartwell Pharma Limited

Whitfield Carter LLP, 22 Bishopsgate, London EC2N 4BQ — Solicitors for the Claimant